

Absolutely. Just a simple exercise of measuring which markets were the strongest during a crisis can tell you which markets are likely to be the leaders when the pressure is off—the markets that will be the ball popping out of the water. For example, crude made a low early in the month, and on the crisis in Ireland, it didn't even retest that low. Then, as soon as the pressure was off, crude was \$5 higher. Conversely, the markets that were weakest should be the markets that rally the least and the first ones to roll over on a general continued decline.

Is that how you pick your longs and shorts?

I always want to buy the strongest and sell the weakest. Always.

If you believe that all the markets in a sector are going higher, will you only be long the market you expect to be the strongest in that sector?

Yes, I want to be long only the market that is acting the best. The market that gets dragged up by a related market may even be a good short. Sometimes I will place a sell stop in a market that gets dragged up so that if it rolls over and starts going down, it will trigger a short position. Frequently, that market will continue to go down and go back to where it should be, while the leading market hardly corrects.

How long have the markets been in this highly correlated state?

We have been in an extremely correlated state since the 2008 financial crisis. I believe that the dog is stocks and the tail is everything else.

In general, or just recently?

Stocks rule, especially in the last few years. You better know which direction equities are going and watch how that influences other markets. Let's say in one week, equities go up and commodities go up. That makes sense and is what you would expect. But then assume that in the following week, equities continue to rise, but commodities stall. Then, all else being equal, you better be very suspect of your long commodity positions.

As an engineering student, you would seem a natural for developing a systemized approach; yet, you developed into a strictly discretionary trader. Why do you think that is?